

Reg No.: _____

Name: _____

APJ ABDUL KALAM TECHNOLOGICAL UNIVERSITY

Sixth Semester B.Tech Degree Supplementary Examination May 2023 (2019 Scheme)

Course Code: HUT300**Course Name: INDUSTRIAL ECONOMICS & FOREIGN TRADE**

Max. Marks: 100

Duration: 3 Hours

PART A*Answer all questions, each carries 3 marks.*

Marks

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|----|--|-----|
| 1 | What are the determinants of supply? | (3) |
| 2 | What are the three central problems of an economy? | (3) |
| 3 | Distinguish between Fixed cost and variable cost. | (3) |
| 4 | Define break-even point. | (3) |
| 5 | Explain oligopolistic competition with its features. | (3) |
| 6 | What is price skimming? | (3) |
| 7 | How does open market operation work to affect the money supply? | (3) |
| 8 | What are the difficulties in the measurement of national income? | (3) |
| 9 | Distinguish between exchange depreciation and devaluation. | (3) |
| 10 | What do you mean by Balance of Trade? | (3) |

PART B*Answer one question from each module, each carries 14 marks.***Module I**

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|----|---|------|
| 11 | a) Explain various types of price elasticity of demand and state its formula. | (10) |
| | b) Explain the concept of cross elasticity of demand. | (4) |

OR

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| 12 | a) What is Joint Stock Company? Discuss the advantages and disadvantages of Joint Stock Company. | (10) |
| | b) What happens to consumer and producer surplus when the sale of a good is taxed? | (4) |

Module II

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|----|---|------|
| 13 | a) Explain the assumptions, uses and limitations of break- even analysis. | (10) |
| | b) Distinguish between social cost and private cost. | (4) |

OR

- 14 a) Derive an equation for break-even quantity with the help of break-even chart. (10)
b) Explain two reasons why internal diseconomies might occur. (4)

Module III

- 15 a) What is perfect competition? Why does the demand curve of a firm facing perfect competition is perfectly elastic? (10)
b) Explain predatory pricing method. (4)

OR

- 16 a) Compare and differentiate between perfect competition, monopolistic competition and monopoly. (10)
b) Explain Going rate pricing. (4)

Module IV

- 17 a) Describe the circular flow concept using a four sector model. (10)
b) State the importance of money market. (4)

OR

- 18 a) What are the monetary measures of controlling inflation? Are the monetary or fiscal measures more effective in controlling inflation? (10)
b) What is stock index? Give examples. (4)

Module V

- 19 a) Differentiate between the theory of absolute advantage and the theory of comparative advantage. (10)
b) What is a free trade & what are its advantages. (4)

OR

- 20 a) Explain the causes for and the methods of correcting disequilibrium in BOP. (10)
b) What are types of non-tariff barriers? (4)
